

AeroKart Logistics - Procurement & Packaging Policy Memo (Internal)

Purpose: This memo codifies guardrails for the FY2025 cost optimization program focused on Packaging and Inbound Freight.

Scope: Applies to Corrugated boxes, stretch film, void-fill paper, and pallets sourced for PHX1, DFW2, and ATL3 fulfillment sites.

Policy Clause 1 (Quality Floor): Corrugated boxes used for outbound must meet Burst Strength $\geq 200\#$ test. Any spec downgrade requires QA sign-off.

Policy Clause 2 (Supplier Risk): No single-vendor exposure may exceed 65% of annual Packaging spend unless the supplier has an active BCP (business continuity plan) on file.

Policy Clause 3 (Rebates): Volume rebates are allowed only if (a) rebate is contractually guaranteed and (b) is netted against COGS for EBITDA reporting.

Policy Clause 4 (Payment Terms): Extending payment terms beyond Net 45 requires Treasury approval AND must not trigger price increases greater than 0.5%.

Footnote A (Conflicting): For Corrugated_Box only, Risk Committee has granted a temporary exception allowing up to 75% single-vendor exposure through Q3-2025 if burst strength is unchanged.

Footnote B (Conflicting): For Packaging category, any supplier consolidation must maintain at least two qualified vendors per SKU family ("dual-source minimum").

Clarification: When clauses conflict, prioritize Footnote A for Corrugated_Box and Clause 2 for all other items.

Data integrity note: Unit prices in ERP extract include spot buys tagged 'Pilot'-exclude pilots from run-rate savings.

Appendix: Reporting Definitions

EBITDA Bridge: A reconciliation from baseline EBITDA to projected EBITDA, attributing deltas to discrete levers.

Run-Rate Savings: Annualized steady-state savings once the lever is fully implemented.

Landed Cost: Total cost inclusive of unit price, inbound freight, duties (if any), and handling.

Price Waterfall: Decomposition from list price to net price via discounts, rebates, and surcharges.